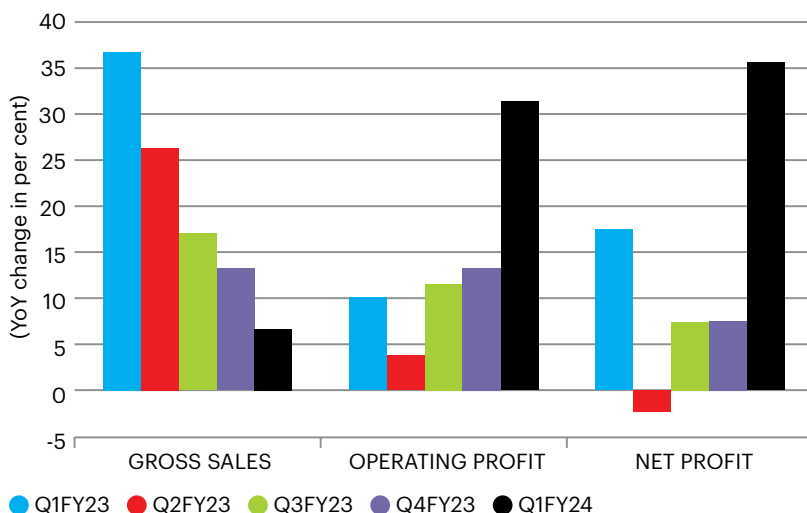


RESULTS CORNER

► Consolidated revenue growth of Nifty 50 firms slowed for the fourth straight quarter in Q1FY24

► However, these companies witnessed the highest growth in net profit in at least seven quarters



NOTE QUARTERLY GROWTH OF NIFTY 50 COMPANIES; COMPANIES THAT ARE CURRENTLY PART OF THE NIFTY 50 ARE CONSIDERED FOR HISTORICAL CALCULATIONS **SOURCE** ACE EQUITY

jayakumar says, the financial sector is expected to post decent numbers. Sharing similar views, Srikanth Subramanian, CEO of discount brokerage firm Kotak Cherry, says, "We see the banking sector doing well, especially private banks, on the back of strong loan growth and healthy asset quality."

Banks are expected to post earnings growth of around 20-25 per cent YoY in Q2, states a research note from Motilal Oswal Financial Services. "We expect our coverage banks to sustain pre-provision operating profit (PPOP) growth at 12 per cent YoY in Q2," the report adds.

Agrees Palka Arora Chopra, Director at Master Capital Services: "Corporate earnings will remain healthy across Nifty 50 firms in the banking, cement and auto sectors." But, due to the slowdown in external demand, she says, IT and chemicals firms will deliver subdued results.

For IT firms, not much has changed in the past few months, states a report from HDFC Securities. Although Q2 has historically been seasonally strong, Q2FY24 is likely to be soft as most demand indicators are trailing 10-15 per cent below levels at the beginning of the year, and only slightly better than the July lows, the report explains. "Growth divergence is expected between companies, with Tier I IT sequential growth ranging from -1.4 per cent to 2.2 per cent, and mid-tier IT sequential growth ranging from 0.9 per cent to 3.8 per cent," it adds.

"Weak global demand may continue to weigh on IT firms in Q2. It will be important to hear out the management commentary as to how they see things panning out for the rest of FY24," says Subramanian.

IT heavyweights TCS, Infosys and HCL Technologies are expected to release their financial results for

Q2 in the second week of October. Last year, these three firms together reported nearly 20 per cent YoY growth in consolidated gross sales at ₹1.16 lakh crore in Q2. Their combined consolidated net profit also grew 9 per cent YoY to ₹19,941 crore.

Other sectors that are expected to deliver strong results are capital goods, auto and cement. "The capital goods sector will also deliver good numbers, particularly Larsen & Toubro, thanks to their robust order book, while margins of automobile players will improve due to soft commodity prices," says Vijayakumar.

Market watchers also believe that cement producers will post good numbers due to the price hikes they've rolled out. A report from Icria says the cement industry is expected to post volume growth of 7-8 per cent in FY24. Further, Chopra of Master Capital says, "The hike in cement prices will lead to an improvement in Ebitda per tonne in Q2FY24 with sustained housing demand, and the infrastructural push will improve margins and bottom line in Q2FY24." But, analysts have mixed views about the FMCG sector. While Chopra is positive about the sector, Vijayakumar feels the sector will grow at the same pace as last year, as rural demand is yet to pick up.

Amid the high crude prices, margins of OMCs are under pressure, too. Crude prices jumped to \$90.79 per barrel on September 29 from \$70.64 on June 30. Kranthi Bathini, Equity Strategist at WealthMills Securities, says, "Rising geopolitical tensions in the Middle East will have a bearing on crude prices in the short to medium term. Elevated crude prices will have a negative impact on market sentiment, and also affect margins in Q3. Any increase in oil prices will also push inflation."

Most sectors have received positive forecasts for Q2. But there is a pall of uncertainty over Q3 due to the war in the Middle East. **BT**

@iamrahuloberoi